

Asia rates: Reducing risk into the FOMC

Unwind receive Korea (versus partial pay Taiwan).

Our medium-term view continues to anticipate higher Asia rates for two reasons: 1) the market debate over the Fed's next move has clearly shifted to whether the Fed will hike or hold, from whether it will hold or cut earlier in the year. Therefore, we would expect some Fed hike term premium to remain priced, even if the Fed leaves policy rates unchanged this week, and 2) some geopolitical risk premium should remain priced in energy prices, despite the interim Iran deal. We have discussed these views in prior reports and these themes remain intact (See *Asia Insights - Asia rates: Some caution still warranted*, 14 July 2026 and *Asia Insights - Asia rates: Some stability likely after recent rally*, 30 June 2026).

But some trading around our more bearish medium-term view

Still, a bearish medium-term view does not mean we do not see opportunities for shorter-term trades at times. The risk/reward was asymmetrically skewed towards paying India rates around end of June, for instance, when oil was ~\$70/barrel and 5y NDOIS was sitting close to (but not yet broken below) the 200-day moving average. We *took profit on the pay 5y NDOIS position* last Monday, but if oil returns to the \$70-75 level again, we could consider reinitiating a pay position.

We reduce the conviction level on our receive Sep-5y Korea versus Taiwan trade to 2/5

We have been recommending a *receive Sep-5y Korea versus Taiwan NDIRS position* (1:1 DV01 ratio) since 24 June. We *reduced the pay Taiwan leg by half last Friday*, and we now exit this trade ahead of FOMC (current levels: 4.06% and 2.345%, respectively). Still, we keep the position on our watchlist (conviction level: 2/5) and look for opportunities to re-establish when event risks, such as the FOMC have passed. Overall, we maintain our view that the recent KOSPI weakness and lower USD/KRW should reduce the risk of an aggressive BOK hiking cycle. Our economists do expect BOK to hike in both August and October, but this is still broadly consistent with current market pricing. Also, the decline in the Korea banking system's loan-to-deposit ratio in recent months, if sustained, could also result in more bond purchases by banks in H2 2026, bringing rates lower.

In Taiwan, we continue to believe the CBC is behind the curve with respect to the growth and inflation outlook. Also, the majority of recent TGB and CBC NCD auctions have been poor. However, in terms of levels, it is not particularly interesting to be paid 5y NDIRS at above 2.30% after it failed to break the 2.40% level twice (in May and June). A breakout would likely require some catalysts, such as another higher-than-expected CPI outturn in July (to be released on 6 August).

We maintain a long-end receive position in Hong Kong (5y fwd 5y) and pay China (3y)

We continue to hold a receive 5y fwd 5y HK IRS position, targeting a move to 3.55%, with a conviction level of 3/5. We believe risks remain asymmetric in favour of lower long-end US rates, should the Fed turn more hawkish over the next few months (twist flattening of the US curve with the front end higher and the long end stable to lower). On the local side, a moderation in non-financial Hong Kong bond issuance and still-subdued loan growth should mean some potential downside in the HK-US IRS spread.

In China, by contrast, we maintain a pay Sep-3y NDIRS position (indicative USD3k DV01, current level: 1.435%) on the view that downside potential in the 7d repo fixing is limited. Our economists also expect PBoC to leave both policy rates and the RRR unchanged in 2026. Also, some recent breakthroughs in China technology (Moonshot, ChangXin) should provide a floor to China rates, despite persistent headwinds in traditional sectors, such as the property market.

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Asia Rates Strategy

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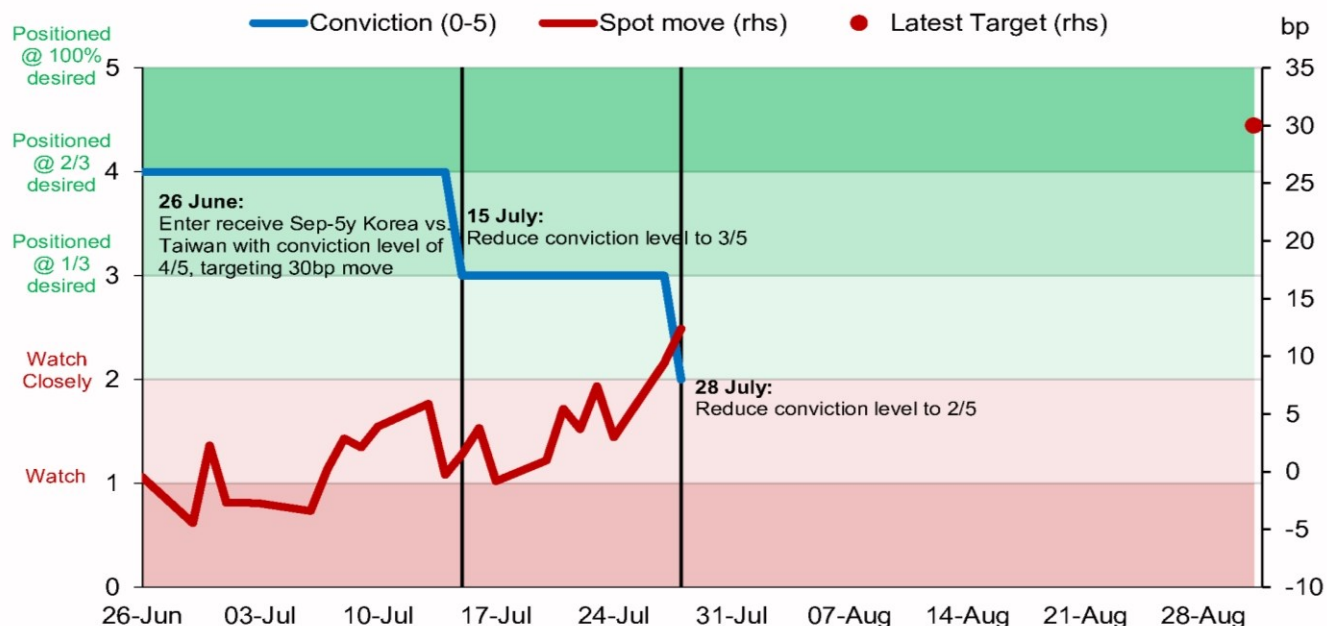
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Fig. 1: Receive Sep-5y Korea versus Taiwan (DV01 1:0.5, reduce conviction level to 2/5 from 3)

Note:

Conviction scale: 1 - Watch; 2 - Watch Closely; 3 - Positioned @ 1/3 desired; 4 - Positioned @ 2/3 desired; 5 - Positioned @ 100% desired

Source: Nomura

Fig. 2: List of current strategy trades

Trade	Target	Timeline	Conviction (0-5)	Entry Date
Long EUR/JPY	-	-	2	24-Jul-26
Long SGD/IDR	14,460	end-Oct	4	24-Jul-26
Long EUR/CAD	-	-	2	24-Jul-26
Receive 5y5y HK IRS	3.55%	end-Aug	3	17-Jul-26
Long EUR/KRW	1,760	end-Oct	3	17-Jul-26
Short USD/CNH	6.55	end-Oct	3	16-Jul-26
Sep-5s10s THB flattener (extra pay 5y)	20bp gain	end-Aug	3	14-Jul-26
Dec-1s4s Korea NDIRS steepener	25bp	end-Aug	3	9-Jul-26
Long EUR/INR	113.0	end-Sep	3	3-Jul-26
Short USD/THB	32.0	end-Sep	3	3-Jul-26
Pay AU3m1y vs US3m1y	35bp move	end-Sep	3	3-Jul-26
Receive Sep-5y Korea vs. Taiwan (DV01 ratio 1:0.5)	-	-	2	26-Jun-26
Short GBP/NZD	2.25	end-Sep	3	26-Jun-26
Long CNH vs 6FX abridged basket	-	-	2	24-Jun-26
Short AUD/NZD	-	-	2	27-May-26
Short USD/TWD	-	-	2	25-May-26
Long EUR/PHP	-	-	2	25-May-26
Long 12m USD/HKD	7.8	12-May-27	3	8-May-26
Long EUR/SEK	-	-	2	17-Apr-26
Pay Sep-3y China NDIRS	1.60%	end-Aug	3	14-Apr-26
Long 9m USD/HKD	7.8	27-Oct-26	3	23-Jan-26
Long EUR/GBP	-	-	2	9-Jan-26
Receive Dec-1y SORA	-	-	2	27-Jul-26

Source: Nomura

Please see [Strategy portfolio update \(9 July 2026\)](#) for our full portfolio.

Appendix A-1

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